# POKHARA UNIVERSITY

Level: Bachelor | Semester: Spring | Year: 2025
Programme: BCSIT | Full Marks: 100
Course: Fundamentals of Financial Management | Pass Marks: 45
Time: 3 hrs.

*Candidates are required to answer in their own words as far as practicable. The figures in the margin indicate full marks.*

Section "A"

**Very Short Answer Questions**

Attempt all the questions. [10×2=20]

1. State two primary objectives of financial management.
2. Define operating risk with an example.
3. Mention two limitations of using the payback period as a capital budgeting technique.
4. A company has current assets of Rs. 800,000 and current liabilities of Rs. 600,000. Calculate the current ratio and quick ratio if inventory is Rs. 200,000.
5. A firm has sales of Rs. 2,00,000 for the current year, EBT of Rs. 1,00,000 and tax rate of 40%. What is its net profit margin.
6. How long will it take Rs. 500 to grow to Rs. 1100 at the interest rate of 7 percent?
7. What do you mean by weighted average cost of capital?
8. What is NPV? Why is it preferred over the payback period?
9. What is Systematic risk?
10. If risk free rate is 4 percent, average return of the market is 8 percent and beta of a stock is 1.25. What will be the required rate of return of this stock?

Section "B"

**Descriptive Answer Questions**

Attempt **any five** questions. [5×10=50]

11. What do you know about the goals of financial management? Why wealth maximization goal is considered superior to profit maximization goal?
12. Assume that it is now January 1, 2021. On January 1, 2022, you will deposit Rs. 1,000 into a saving account that pays 8%.
    a. If the bank compound interest annually, how much will you have in your account on January 1, 2025?
    b. What would your January 1, 2025, balance be if the bank used quarterly compounding rather than annual compounding?
    c. Suppose you deposited the Rs. 1,000 in 4 payments of Rs. 250 each on January 1 of 2022, 2023, 2024 and 2025 each. How much would you have in your account on January 1, 2025, based on 8% annual compounding?

d. Suppose you deposit 4 equal payments in your account on January 1 of 2022, 2023,2024 and 2025.Assuming an 8% interest rate, how large would each of your payments have to be for you to obtain the same ending balance as you calculated in part (a)?

13. Following are the probability distribution of returns of Stock X and Stock Y under three states of economy:

| State | Probability | Return on Stock X | Return on Stock Y |
|---|---|---|---|
| Boom | 0.3 | 15% | 40% |
| Normal | 0.4 | 25 | 25 |
| Recession | 0.3 | 5 | 10 |

a. Calculate the expected rate of return and standard deviation for each stock.
b. Calculate covariance and correlation coefficient between the returns of stock X and stock Y.
c. Suppose an investor forms a portfolio of the two stocks investing 40 percent funds in Stock X and the rest in Stock Y. Calculate portfolio expected rate of return and standard deviation.
d. Which alternative would you choose for investment: Stock X, Stock Y or Portfolio? Why?

14. Bishal Ltd. has current assets of Rs. 1,200,000 and current liabilities of Rs. 700,000.
a. What is the company's current ratio?
b. What would be the current ratio if each of the following transactions occurred, assuming all other things remain constant?
i. A machine costing Rs. 120,000 is purchased and paid in cash.
ii. Inventories worth Rs. 150,000 are purchased on credit.
iii. Accounts payable of Rs. 60,000 are paid off in cash.
iv. Long-term debt of Rs. 250,000 is raised; Rs. 120,000 is used to invest in inventories and Rs. 130,000 is used to pay down short-term borrowings.

15. Annapurna Corporation has the following capital structure:
- Debt: Rs. 4,000,000 at 9% interest rate
- Preferred Stock: Rs. 1,000,000 with 7% dividend rate
- Common Stock: Rs. 5,000,000 with expected dividend of Rs. 3 per share, growth rate of 6%, current price Rs. 40 per share
- Tax rate: 30%

**Calculate:**
a) After-tax cost of debt b) Cost of preferred stock
c) Cost of common equity d) Weighted Average Cost of Capital
e) Explain the importance of WACC in capital budgeting decisions

16. Your company is planning to borrow Rs. 1,500,000 on a 6-year, 10% annual interest, fully amortized term loan with equal annual payments.

a. Prepare an amortization schedule for the loan.
b. Based on the schedule, what fraction of the payment made at the end of the second year will represent repayment of principal?
c. What fraction of the payment made at the end of the third year will represent repayment of interest?

Group "C"

**Long Answer Questions**

Attempt **any two** questions. [2×15=30]

17. Complete the balance sheet and sales information of a company in the table using the following financial data. Assume that days in a year 360.

| | |
|---|---|
| Debt Ratio | 50% |
| Quick ratio | 0.80 times |
| Total Assets Turnover | 1.5 times |
| Days sales outstanding | 36 days |
| Gross Profit Margin | 25% |
| Cost of goods sold to inventory | 5 times |

**Balance Sheet**

| | | | |
|---|---|---|---|
| Cash | - | Account Payable | - |
| Account receivable | - | Long term debt | Rs. 60,000 |
| Inventories | - | Common stock | - |
| Fixed Assets | - | Retained Earnings | Rs, 97,500 |
| Total Assets | Rs. 3,00.000 | Total liabilities and equity | - |
| Sales | - | Cost of goods sold | - |

18. You are a financial analyst at Umbrella Company. The Director of Capital Budgeting has asked you to evaluate two mutually exclusive capital investment projects, Project A and Project B. Each project requires an initial investment of Rs. 15,000, and the cost of capital is 10%. The expected net cash flows from the projects are as follows:

| Year | Project A (Rs.) | Project B (Rs.) |
|---|---|---|
| 0 | (15,000) | (15,000) |
| 1 | 7,000 | 4,000 |
| 2 | 5,000 | 4,000 |
| 3 | 4,000 | 4,000 |
| 4 | 2,000 | 4,000 |

**Required:**

a. Calculate the payback period (PBP) for each project. Based on the payback period, which project should be accepted?
b. Calculate the Net Present Value (NPV) of each project using a 10% discount rate. Based on NPV, which project should be selected?

c. Calculate the Internal Rate of Return (IRR) for each project. Which project should be preferred based on IRR?

19. Capital structure decisions play a crucial role in determining a firm's long-term financial strategy and overall performance.
    a. Define capital structure and explain its significance in financial management.
    b. Discuss in detail the major factors that influence the capital structure decisions of a firm.
    c. Illustrate your answer with suitable examples or practical implications of these factors in real business scenarios.